

# ERISA Rules for 401(k) Retirement Plans

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## *Consolidated Reference Guide*

Covering: Participation • Vesting • Contributions • Distributions • Fiduciary Duties • Reporting • Compliance

*Sources: U.S. Department of Labor (EBSA) | GovInfo COMPS-896 | PensionResource.website*

*As of June 2026 | Prepared for internal use and client guidance*

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## 1. Overview of ERISA and 401(k) Plans

### 1.1 What is ERISA?

The Employee Retirement Income Security Act of 1974 (ERISA), Pub. L. 93-406, is the primary federal law governing private-sector employee benefit plans. ERISA sets minimum standards to protect participants and beneficiaries of pension and welfare benefit plans, including 401(k) plans.

ERISA does not require any employer to establish a retirement plan. However, if an employer chooses to establish one, it must meet ERISA's requirements. Most provisions took effect for plan years beginning on or after January 1, 1975.

### 1.2 What is a 401(k) Plan?

A 401(k) plan is a defined contribution plan that is a cash or deferred arrangement. Employees may elect to defer receiving a portion of their salary, which is instead contributed to the 401(k) plan on their behalf. The salary deferral contributions are not taxed until the employee withdraws them from the plan. Employees bear the investment risk in a 401(k) plan.

Key characteristics:

- Employer-sponsored defined contribution plan
- Employees elect to defer salary (pre-tax traditional or post-tax Roth)
- Employers may match employee contributions
- Accounts are individually directed by participants (typically)
- Subject to both ERISA and Internal Revenue Code (IRC) requirements
- Annual contribution limits set by the IRS under IRC Section 415 and 402(g)

### 1.3 ERISA's Primary Protections for 401(k) Participants

ERISA provides protections in six core areas:

1. Participation Standards — when employees must be allowed to join the plan
2. Vesting Rules — when participants earn non-forfeitable rights to employer contributions
3. Benefit Accrual — minimum standards for how benefits accumulate
4. Funding Standards — requirements to ensure plans are adequately funded
5. Fiduciary Responsibilities — duties owed by plan administrators and trustees
6. Disclosure & Reporting — obligations to inform participants and the government

## 2. Coverage and Eligibility (ERISA §§ 201–211 / IRC § 410)

### 2.1 Plans Covered by ERISA

ERISA covers most private-sector employee benefit plans. It does NOT cover:

- Government plans (federal, state, or local)
- Church plans (unless the church elects ERISA coverage)
- Plans maintained solely for the purpose of complying with workers' compensation, unemployment compensation, or disability insurance laws
- Plans maintained outside the United States primarily for nonresident aliens
- Unfunded excess benefit plans

### 2.2 Minimum Participation Standards (ERISA § 202 / IRC § 410(a))

A 401(k) plan cannot require, as a condition of participation, an employee to:

- Attain an age greater than 21
- Complete more than 1 year of service (except for plans providing immediate full vesting, which may require up to 2 years)

Age 18 alternative: Plans may use a lower age threshold. Plans may not exclude employees who have attained age 21 and completed 1 year of service.

### 2.3 Definition of Year of Service

A year of service for eligibility purposes is a 12-month period during which the employee completes at least 1,000 hours of service. The initial 12-month period begins on the date of employment. Thereafter, plan years are used.

**SECURE 2.0 Update:** Beginning in 2024, long-term part-time employees who work at least 500 hours per year for 2 consecutive years (reduced from 3 under original SECURE Act) must be permitted to make elective deferrals. This applies to plan years beginning after December 31, 2024 for 401(k) plans.

### 2.4 Entry Date Requirements

Once an employee meets the age and service requirements, the plan may delay the actual start date to the earlier of:

- The first day of the plan year beginning after meeting requirements, OR
- Six months after meeting requirements

This means the maximum wait after meeting eligibility requirements is 6 months.

### 2.5 Break-in-Service Rules

A one-year break in service occurs when an employee fails to complete more than 500 hours of service in a 12-month period. The plan may disregard prior service if the number of consecutive one-year breaks equals or exceeds the greater of: (a) 5, or (b) the employee's pre-break years of service.

Maternity/Paternity Leave: Hours of service must be credited to avoid a break in service for absences due to pregnancy, birth, adoption, or child care following birth/adoption.

## 3. Vesting Rules (ERISA § 203 / IRC § 411)

### 3.1 Overview of Vesting

Vesting refers to the employee's non-forfeitable right to plan benefits. Employee elective deferrals (salary reduction contributions) are always 100% vested immediately. Employer contributions are subject to minimum vesting schedules.

### 3.2 Minimum Vesting Schedules for Employer Contributions

Plans must use one of two minimum vesting schedules (or a faster schedule):

| ERISA Section                  | Description / Requirement                                                                                                                     |
|--------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Cliff Vesting</b>           | 0% vested until 3 years of service, then 100% immediately. Employee with fewer than 3 years gets nothing; at exactly 3 years, gets 100%.      |
| <b>Graded Vesting (6-Year)</b> | 20% after 2 years, 40% after 3, 60% after 4, 80% after 5, 100% after 6 years of service.                                                      |
| <b>Safe Harbor 401(k)</b>      | Employee and employer contributions are immediately 100% vested (required for safe harbor plans).                                             |
| <b>SIMPLE 401(k)</b>           | All contributions are immediately 100% vested.                                                                                                |
| <b>Matching Contributions</b>  | Under SECURE 2.0: 2-year cliff or 2-6 year graded vesting for matching contributions is permitted for long-term part-time employee deferrals. |

### 3.3 Year of Service for Vesting

A year of service for vesting is any plan year during which the employee completes 1,000 or more hours of service. Unlike eligibility, the plan may not use a 12-month period other than the plan year.

### 3.4 Break-in-Service and Vesting

Service before a break is counted for vesting purposes after an employee returns, provided the break was fewer than 5 consecutive one-year breaks, or the employee was vested at the time of the break. Plans may disregard pre-break service if the break is 5 or more consecutive years and the employee was 0% vested.

### 3.5 Forfeitures

Non-vested employer contributions that are forfeited upon a participant's termination may be used to:

- Reduce employer contributions, OR
- Pay plan administrative expenses

Forfeitures allocated to other participants' accounts as additional contributions is also permissible under the plan document.

## 4. Contribution Rules and Limits (ERISA § 204 / IRC §§ 401, 402(g), 415)

### 4.1 Types of 401(k) Contributions

- Employee Elective Deferrals — Pre-tax or Roth (post-tax) salary reduction contributions
- Employer Matching Contributions — Dollar-for-dollar or partial match on employee deferrals
- Employer Nonelective Contributions — Made regardless of employee deferral
- After-Tax Contributions — Non-Roth after-tax contributions (if plan allows)
- Rollover Contributions — From prior employer plans or IRAs

### 4.2 Annual Contribution Limits (2024)

| Limit Type                                                                                                                                                                                                                                                                                                      | 2024 Limit                                        | ERISA / IRC Basis      |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------|------------------------|
| Employee Elective Deferral (402(g) limit)                                                                                                                                                                                                                                                                       | <b>\$23,000</b>                                   | IRC § 402(g)(1)        |
| Catch-Up Contribution (age 50+)                                                                                                                                                                                                                                                                                 | <b>\$7,500 additional</b>                         | IRC § 414(v)           |
| Total Annual Additions (415(c) limit)                                                                                                                                                                                                                                                                           | <b>\$69,000 (or 100% of compensation if less)</b> | IRC § 415(c)           |
| Total with Catch-Up (age 50+)                                                                                                                                                                                                                                                                                   | <b>\$76,500</b>                                   | IRC §§ 415(c) + 414(v) |
| Compensation Cap (415 & 401(a)(17))                                                                                                                                                                                                                                                                             | <b>\$345,000</b>                                  | IRC § 401(a)(17)       |
| Highly Compensated Employee (HCE) Threshold                                                                                                                                                                                                                                                                     | <b>\$155,000 (2024 testing year)</b>              | IRC § 414(q)           |
| Key Employee (top-heavy threshold)                                                                                                                                                                                                                                                                              | <b>\$220,000 (officer)</b>                        | IRC § 416(i)           |
| SIMPLE 401(k) Deferral Limit                                                                                                                                                                                                                                                                                    | <b>\$16,000 (\$3,500 catch-up)</b>                | IRC § 408(p)(2)(A)     |
| <b>SECURE 2.0 (2025+):</b> Starting in 2025, participants aged 60-63 get a higher catch-up limit: the greater of \$10,000 or 150% of the regular catch-up limit, indexed for inflation. Also in 2024+: catch-up contributions for participants earning over \$145,000 must be Roth (Roth catch-up requirement). |                                                   |                        |

### 4.3 Roth 401(k) Contributions

Plans may allow designated Roth contributions (post-tax deferrals). These are subject to the same 402(g) limit as pre-tax deferrals (combined). Roth 401(k) distributions are tax-free if the account is at least 5 years old and the participant is 59½ or older, disabled, or deceased. Under SECURE 2.0 (effective 2024), Roth 401(k)s are no longer subject to required minimum distributions during the participant's lifetime.

### 4.4 Nondiscrimination Testing

401(k) plans must pass nondiscrimination tests to ensure benefits do not disproportionately favor highly compensated employees (HCEs). The two primary tests are:

#### Actual Deferral Percentage (ADP) Test (IRC § 401(k)(3))

The ADP of HCEs cannot exceed the greater of:

- 125% of the non-HCE ADP, OR
- The lesser of: 200% of non-HCE ADP, or non-HCE ADP + 2 percentage points

**Actual Contribution Percentage (ACP) Test (IRC § 401(m)(2))**

Applied to employer matching contributions and employee after-tax contributions, using the same mathematical tests as ADP.

**Top-Heavy Rules (IRC § 416)**

A plan is top-heavy if more than 60% of plan assets are held in accounts of key employees. Top-heavy plans must provide a minimum contribution of 3% of compensation for non-key employees (or the contribution rate made for the highest-paid key employee if less than 3%).

**4.5 Safe Harbor 401(k) Plans**

Plans that meet safe harbor requirements are exempt from ADP/ACP testing. There are three safe harbor designs:

| ERISA Section                     | Description / Requirement                                                                                                          |
|-----------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| <b>Basic Safe Harbor Match</b>    | Match 100% of first 3% of compensation + 50% of next 2%. Employer match is immediately fully vested.                               |
| <b>Enhanced Safe Harbor Match</b> | Match at least 100% of first 4% of compensation (at minimum). Must at least equal basic match at each tier.                        |
| <b>Nonelective Safe Harbor</b>    | Employer contributes at least 3% of compensation for all eligible employees, regardless of whether they defer. Immediately vested. |
| <b>QACA Safe Harbor</b>           | Qualified Automatic Contribution Arrangement; allows 2-year cliff vesting for employer match; auto-enrollment required.            |

Safe harbor plans must provide an annual notice to employees before each plan year describing the safe harbor contribution and their rights, except QACAs which use a combined automatic enrollment notice.

## 5. Distribution Rules (ERISA §§ 203, 205 / IRC §§ 401(a), 402, 72)

### 5.1 When Can Participants Receive Distributions?

A 401(k) plan may permit distributions only upon triggering events defined by the plan document and IRC. Permissible distribution events include:

- Severance from employment (termination, retirement, death, disability)
- Attainment of age 59½ (in-service withdrawals, if plan allows)
- Plan termination (without establishment of a successor plan)
- Hardship (see below)
- Certain military service (HEART Act)
- Qualified reservist distributions
- Domestic abuse victim distributions (SECURE 2.0, 2024)
- Terminal illness (SECURE 2.0, 2024)
- Emergency personal expense distributions (SECURE 2.0, up to \$1,000/year, 2024)

### 5.2 Required Minimum Distributions (RMDs) (IRC § 401(a)(9))

Participants must begin taking RMDs by their Required Beginning Date (RBD):

- Traditional 401(k): April 1 of the year following the year in which the participant turns 73 (SECURE 2.0 increased age from 72 to 73 for those turning 72 after Dec. 31, 2022; age rises to 75 for those born after 1959)
- Still-working exception: Non-5%-owners still employed may delay RMDs until April 1 of the year after retirement
- Roth 401(k): Effective 2024, no RMDs required during the participant's lifetime (SECURE 2.0)

The amount of each RMD is calculated by dividing the account balance (as of December 31 of the prior year) by the applicable distribution period from the IRS Uniform Lifetime Table.

**Penalty:** Failure to take the required RMD is subject to a 25% excise tax on the shortfall (reduced from 50% by SECURE 2.0); the penalty may be reduced to 10% if corrected timely.

### 5.3 Early Withdrawals and the 10% Penalty Tax (IRC § 72(t))

Distributions before age 59½ are generally subject to an additional 10% early withdrawal penalty tax, in addition to ordinary income tax. Exceptions include:

- Separation from service at age 55 or older (age 50 for public safety employees)
- Disability (as defined in IRC § 72(m)(7))
- Death (distributions to beneficiaries)
- Substantially equal periodic payments (SEPP/72(t) elections)
- Qualified domestic relations orders (QDROs)
- Medical expense deduction amounts exceeding 7.5% of AGI
- Health insurance premiums while unemployed
- Qualified reservist distributions
- IRS levy on the plan
- Qualified birth or adoption distributions (up to \$5,000 per event — SECURE Act)
- Emergency personal expense distributions (SECURE 2.0, 2024)
- Domestic abuse victim distributions (SECURE 2.0, 2024)

- Terminal illness distributions (SECURE 2.0, 2024)

## 5.4 Hardship Withdrawals (IRC § 401(k)(2)(B)(i)(IV) / Reg. § 1.401(k)-1(d)(3))

Plans may (but are not required to) allow hardship withdrawals from elective deferral accounts. A hardship withdrawal must be:

- Made on account of an immediate and heavy financial need
- Necessary to satisfy the financial need

Safe harbor hardship reasons (automatically deemed to meet the standard):

- Medical expenses for the participant, spouse, dependents, or primary beneficiary
- Purchase (not mortgage payments) of principal residence
- Tuition and related educational expenses (12 months)
- Payments to prevent eviction from or foreclosure on principal residence
- Burial or funeral expenses for parent, spouse, children, or dependents
- Repair of principal residence damage (casualty deductible losses)
- Expenses due to a federally declared disaster

Under post-2018 regulations, the 6-month deferral suspension after hardship withdrawal is eliminated. Participants may continue contributions immediately after a hardship withdrawal.

## 5.5 Loans from 401(k) Plans (IRC § 72(p))

If the plan document permits, participants may borrow from their 401(k) account subject to:

- Maximum loan amount: the lesser of \$50,000 (reduced by highest outstanding loan balance in the past 12 months) or 50% of the participant's vested account balance
- Minimum loan term: must be a level amortization with payments at least quarterly
- Maximum repayment term: generally 5 years (except for loans to purchase a principal residence, which may be longer)
- Interest rate: must be commercially reasonable

A loan in default (missed payments) becomes a "deemed distribution" and is taxable and subject to the 10% early withdrawal penalty if the participant is under 59½.

## 5.6 Qualified Domestic Relations Orders (QDROs) (ERISA § 206(d) / IRC § 414(p))

A QDRO is a domestic relations order that creates or recognizes the right of an alternate payee (spouse, former spouse, child, dependent) to receive all or part of a participant's plan benefits. Plan administrators must:

- Establish reasonable QDRO determination procedures
- Notify participants and alternate payees of receipt of a domestic relations order
- Determine whether the order is "qualified" within 18 months
- Segregate the alternate payee's share during the determination period

Distributions to an alternate payee pursuant to a QDRO are not subject to the 10% early withdrawal penalty regardless of age.

## 5.7 Survivor Benefit Rules (ERISA § 205 / IRC § 401(a)(11))

For defined benefit and money purchase pension plans, the default form of benefit is a Qualified Joint and Survivor Annuity (QJSA). For 401(k) profit-sharing plans:



- If the plan provides no annuity options: only ERISA survivor benefit rules requiring the death benefit be paid to the surviving spouse apply
- If the plan provides annuity options: QJSA rules apply
- A surviving spouse must receive 100% of the vested account balance as a death benefit, unless the spouse consented in writing to an alternative beneficiary designation
- Consent must be witnessed by a plan representative or notary public

**SECURE 2.0 Update:** Effective for plan years beginning after December 31, 2023, plans may allow participants to waive the spousal consent requirement for beneficiary designations if the plan sponsor so elects and certain conditions are met (pending IRS guidance).

## 6. Fiduciary Responsibilities (ERISA §§ 401–414)

### 6.1 Who is a Fiduciary?

A fiduciary is any person who:

- Exercises any discretionary authority or control over the management of a plan or its assets
- Exercises any authority or control over the management or disposition of plan assets
- Renders investment advice for a fee with respect to plan assets
- Has any discretionary authority or responsibility in plan administration

Named fiduciaries include the plan administrator, trustee, and investment manager. Being named in the plan document does not make someone a fiduciary — actual exercise of discretion does.

### 6.2 The Four Core Fiduciary Duties (ERISA § 404)

| ERISA Section                        | Description / Requirement                                                                                                                                    |
|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Duty of Loyalty</b>               | Act solely in the interest of plan participants and beneficiaries and for the exclusive purpose of providing benefits and defraying plan expenses.           |
| <b>Duty of Prudence</b>              | Act with the care, skill, prudence, and diligence of a prudent person familiar with such matters and acting in similar capacity under similar circumstances. |
| <b>Duty to Diversify</b>             | Diversify the investments of the plan to minimize the risk of large losses, unless clearly prudent not to do so.                                             |
| <b>Duty to Follow Plan Documents</b> | Act in accordance with the documents and instruments governing the plan, insofar as consistent with ERISA.                                                   |

### 6.3 Prohibited Transactions (ERISA § 406 / IRC § 4975)

Fiduciaries are prohibited from causing the plan to engage in transactions that benefit parties-in-interest:

- Sale, exchange, or lease of property between the plan and a party in interest
- Lending of money or extension of credit between the plan and a party in interest
- Furnishing goods, services, or facilities between plan and party in interest
- Transfer or use of plan assets for the benefit of a party in interest
- Acquisition of employer securities or real property in excess of 10% of plan assets (for most plans)

A fiduciary may not deal with plan assets in their own interest or act for a party whose interests are adverse to the plan.

### 6.4 Exemptions from Prohibited Transactions

ERISA provides both statutory and administrative exemptions (PTEs):

- Participant loans meeting IRC § 72(p) requirements (statutory)
- Purchase or sale of qualifying employer securities at fair market value (statutory)
- Payment of reasonable plan expenses (statutory)
- PTE 2020-02 — Investment Advice Exemption (for rollover recommendations and ongoing advice)
- PTE 84-14 (QPAM Exemption) — Transactions by qualified professional asset managers
- Voluntary Fiduciary Correction Program (VFCP) — DOL program for self-correcting certain PT violations

## 6.5 Bonding Requirements (ERISA § 412)

Every person who handles funds or other property of a plan must be bonded. The bond must be:

- At least 10% of the funds handled in the prior year
- Minimum bond: \$1,000
- Maximum bond: \$500,000 (\$1,000,000 for plans holding employer securities)

The bond must protect the plan against loss due to fraud or dishonesty. Company officers need not be bonded if the company provides an adequate indemnity arrangement.

## 6.6 Liability of Fiduciaries (ERISA § 409)

A fiduciary who breaches any responsibility under ERISA is personally liable for:

- Restoring losses to the plan resulting from the breach
- Restoring any profits made through use of plan assets
- Civil penalties (up to 20% of the amount recovered in a DOL settlement or court order)

Co-fiduciaries may be jointly liable if they knowingly participated in or failed to remedy a breach.

## 7. Reporting and Disclosure (ERISA §§ 101–111)

### 7.1 Summary Plan Description (SPD) (ERISA § 102)

The SPD is the primary document that informs participants of their rights and obligations under the plan. It must be furnished:

- To new participants within 90 days of becoming covered by the plan
- To all participants upon written request
- Updated SPD every 5 years (if plan changes) or every 10 years (if no changes)

Required SPD content includes: plan name and type, plan administrator information, eligibility requirements, contribution information, vesting schedule, benefit formula, plan amendment/termination provisions, ERISA rights statement, and claims and appeals procedures.

### 7.2 Summary of Material Modifications (SMM) (ERISA § 104(b)(1))

Material changes to plan terms must be disclosed to participants via an SMM within 210 days after the end of the plan year in which the change was adopted, or 60 days if the modification significantly affects the SPD.

### 7.3 Form 5500 Annual Report (ERISA § 103)

Plans with 100 or more participants must file Form 5500 with the DOL. Smaller plans may file Form 5500-SF (Short Form). The filing is due by the last day of the 7th month after the plan year ends, with an automatic 2.5-month extension available (Form 5558).

| ERISA Section            | Description / Requirement                                                |
|--------------------------|--------------------------------------------------------------------------|
| <b>Form 5500</b>         | Plans with 100+ participants at the beginning of the plan year           |
| <b>Form 5500-SF</b>      | Plans with fewer than 100 participants; all assets in qualifying assets  |
| <b>Form 5500-EZ</b>      | One-participant plans (owner-only); filed with IRS                       |
| <b>Schedule A</b>        | Insurance information                                                    |
| <b>Schedule C</b>        | Service provider information (large plans)                               |
| <b>Schedule H / I</b>    | Financial information (large / small plans)                              |
| <b>Schedule SB</b>       | Actuarial information (defined benefit plans)                            |
| <b>Independent Audit</b> | Required for large plans (100+ participants); must be by a qualified CPA |

### 7.4 Participant Benefit Statements (ERISA § 105)

Participant-directed plans (typical 401(k)s) must provide quarterly benefit statements. Non-participant-directed plans must provide annual statements. Statements must include:

- Total benefits accrued and vested percentage
- Current account balance
- Explanation of any limitations or restrictions on benefits
- Investment performance data
- Projected lifetime income illustration (required at least once per year — SECURE Act)

### 7.5 Fee Disclosure — Participant Level (ERISA § 404(a)(5) / DOL Reg. 2550.404a-5)

Plans with participant direction must provide:

- Annual disclosure of plan-related information: administrative fees, individual fees, general plan information
- Quarterly disclosure of fees actually deducted from each participant's account
- Investment-related information: performance data (1-, 5-, 10-year returns), fees expressed as a percentage and dollar amount, benchmark comparison, and a comparative chart

## 7.6 Fee Disclosure — Plan Level / Service Provider (ERISA § 408(b)(2) / DOL Reg. 2550.408b-2)

Covered service providers receiving \$1,000 or more in compensation must provide written disclosures to plan fiduciaries:

- Description of services to be provided
- Status as a fiduciary and/or registered investment adviser
- All compensation, direct and indirect (including revenue sharing)
- Compensation upon contract termination

Failure to receive required disclosures is itself a prohibited transaction unless the plan fiduciary takes corrective action including requesting the disclosure and reporting to DOL if necessary.

## 7.7 Notice Requirements Summary

| ERISA Section                                                 | Description / Requirement                                                |
|---------------------------------------------------------------|--------------------------------------------------------------------------|
| <b>Safe Harbor Notice</b>                                     | Annual; at least 30 days before start of plan year                       |
| <b>Automatic Enrollment / QACA Notice</b>                     | Annual; at least 30 days before start of plan year                       |
| <b>QDIA Notice (Qualified Default Investment Alternative)</b> | Annual; at least 30 days before start of plan year or participation      |
| <b>Blackout Notice (ERISA § 101(i))</b>                       | At least 30 days before blackout period begins                           |
| <b>Summary Annual Report (SAR)</b>                            | Within 9 months of plan year end (or 2 months after Form 5500 extension) |
| <b>COBRA Notice</b>                                           | Within 14 days of a qualifying event                                     |
| <b>USERRA Notice</b>                                          | Reasonable notice for military service rights                            |
| <b>RMD Notices</b>                                            | By January 31 of the year the RMD is due                                 |
| <b>Rollover Notice (402(f))</b>                               | Between 30 and 180 days before distribution                              |
| <b>QJSA/QPSA Notice</b>                                       | Generally between 30-180 days before annuity start date                  |

## 8. Plan Administration and Compliance

### 8.1 Plan Document Requirements

Every 401(k) plan must be maintained pursuant to a written plan document that:

- Names the plan administrator and other named fiduciaries
- Describes contribution and benefit formulas
- Specifies distribution triggers and forms
- Includes claims and appeals procedures
- Contains anti-alienation provisions
- Addresses plan amendment and termination procedures

The plan must be restated or amended periodically to reflect law changes. The IRS cycles preapproved plan document restatements approximately every 6 years.

### 8.2 Anti-Alienation Rule (ERISA § 206(d) / IRC § 401(a)(13))

Plan benefits may not be assigned or alienated. Participants cannot pledge their 401(k) account as collateral for loans (other than permissible plan loans). Exceptions: QDROs, certain federal tax levies, and offsets for plan loans in default.

### 8.3 Plan Amendment and Termination

Employers generally have the right to amend or terminate a 401(k) plan. However:

- No plan amendment may reduce accrued benefits (IRC § 411(d)(6) — anti-cutback rule)
- Participants must be vested in their accrued benefits upon plan termination or partial termination
- Upon termination, participants may receive distributions and roll to IRAs or other qualified plans
- Excess assets from a terminating defined benefit plan (not 401(k)) may revert to the employer subject to a 50% excise tax

### 8.4 Automatic Enrollment (IRC § 401(k)(13) / ERISA § 514(e))

Plans may (and under SECURE 2.0 for new plans, must) include automatic enrollment features:

- Eligible Automatic Contribution Arrangement (EACA): at least 3% default deferral; 90-day auto-withdrawal available
- Qualified Automatic Contribution Arrangement (QACA): 3%-10% escalating default; qualifies for safe harbor

**SECURE 2.0 Mandate:** New 401(k) and 403(b) plans established after December 29, 2022 must include automatic enrollment at a rate between 3% and 10% and automatic escalation up to at least 10% but not more than 15%, starting in 2025 for plans not grandfathered. Small businesses (10 or fewer employees), new businesses (less than 3 years old), and SIMPLE plans are exempt.

### 8.5 Correction Programs

The IRS and DOL offer correction programs for plan failures:

| ERISA Section | Description / Requirement                                                                                                               |
|---------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| EPCRS (IRS)   | Employee Plans Compliance Resolution System — covers operational, demographic, and document failures. Includes: Self-Correction Program |

|                                 |                                                                                                                                                                          |
|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                 | (SCP), Voluntary Correction Program (VCP), Audit Closing Agreement Program (Audit CAP).                                                                                  |
| <b>VFCP (DOL)</b>               | Voluntary Fiduciary Correction Program — allows plan sponsors to self-correct certain prohibited transactions and fiduciary violations and avoid DOL enforcement action. |
| <b>SECURE 2.0 SCP Expansion</b> | Expanded SCP to allow self-correction of more failures without IRS approval, and eliminated VCP user fees for certain smaller plan corrections.                          |

## 9. Key ERISA Code Sections Reference (29 U.S.C. Chapter 18)

The following table maps ERISA Act sections to their U.S. Code citations and subject matter, as reflected in the ERISA compiled statute (COMPS-896) and PensionResource.website:

| ERISA Section                | Description / Requirement                                     |
|------------------------------|---------------------------------------------------------------|
| § 1001 / Act § 2             | Congressional findings and declaration of policy              |
| § 1002 / Act § 3             | Definitions (plan, participant, beneficiary, fiduciary, etc.) |
| § 1003 / Act § 4             | Coverage — plans subject to ERISA                             |
| § 1021 / Act § 101           | Duty of disclosure and reporting                              |
| § 1022 / Act § 102           | Summary plan description requirements                         |
| § 1023 / Act § 103           | Annual report (Form 5500) requirements                        |
| § 1024 / Act § 104           | Filing and disclosure of plan information                     |
| § 1025 / Act § 105           | Reporting of participant benefit statements                   |
| § 1026 / Act § 106           | Disclosure requirements for multi-employer plans              |
| § 1027 / Act § 107           | Retention of records                                          |
| § 1051-1061 / Act §§ 201-211 | Participation and vesting standards                           |
| § 1082 / Act § 302           | Funding standards (defined benefit emphasis)                  |
| § 1102 / Act § 402           | Named fiduciaries                                             |
| § 1103 / Act § 403           | Establishment of trust; exclusive benefit rule                |
| § 1104 / Act § 404           | Fiduciary duties (prudence, loyalty, diversification)         |
| § 1105 / Act § 405           | Liability of co-fiduciaries                                   |
| § 1106 / Act § 406           | Prohibited transactions                                       |
| § 1107 / Act § 407           | Limitation on employer securities and real property           |
| § 1108 / Act § 408           | Exemptions from prohibited transactions                       |
| § 1109 / Act § 409           | Liability for breach of fiduciary duty                        |
| § 1110 / Act § 410           | Exculpatory provisions; indemnification                       |
| § 1111 / Act § 411           | Persons prohibited from holding positions                     |
| § 1112 / Act § 412           | Bonding requirements                                          |
| § 1113 / Act § 413           | Statute of limitations on fiduciary claims                    |
| § 1132 / Act § 502           | Civil enforcement — participant lawsuits                      |
| § 1133 / Act § 503           | Claims procedure                                              |
| § 1144 / Act § 514           | ERISA preemption of state laws                                |
| § 1145 / Act § 515           | Delinquent contributions to multi-employer plans              |



## 10. Key Legislative Updates: SECURE Act and SECURE 2.0

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### 10.1 SECURE Act (2019)

- Increased RMD age from 70½ to 72 (for those turning 70½ after Dec. 31, 2019)
- Eliminated age limit on traditional IRA contributions
- Introduced 10-year rule for inherited IRA distributions (most non-spouse beneficiaries)
- Allowed long-term part-time employees to participate after 3 years of 500+ hours
- Expanded 529 plan uses to student loan repayment
- Required lifetime income illustrations on benefit statements
- Safe harbor for annuity selection by plan fiduciaries
- Increased tax credits for small employer plan startup costs

### 10.2 SECURE 2.0 Act (2022)

- Increased RMD age to 73 (2023), rising to 75 for those born after 1959
- Eliminated RMDs from Roth 401(k)s during owner's lifetime (2024)
- Expanded catch-up contributions for ages 60-63 (2025)
- Required Roth catch-up contributions for participants earning over \$145,000 (2026)
- Reduced long-term part-time employee service requirement from 3 to 2 years (2025)
- Mandatory auto-enrollment for new plans (2025)
- Reduced excess accumulation excise tax from 50% to 25% (10% if corrected timely)
- Permitted emergency distributions up to \$1,000/year (2024)
- Permitted domestic abuse victim distributions (2024)
- Permitted terminal illness distributions (2024)
- Employer matching on student loan payments (2024)
- Emergency savings accounts linked to 401(k) plans (2024)
- Expanded EPCRS self-correction options
- Rothification of catch-up contributions for high earners
- Starter 401(k) plans for employers without a plan
- SIMPLE IRA and SIMPLE 401(k) contribution limit increases

## 11. Quick Reference: Common Deadlines and Thresholds

| ERISA Section                                   | Description / Requirement                                                                            |
|-------------------------------------------------|------------------------------------------------------------------------------------------------------|
| <b>Eligibility: Maximum Age Requirement</b>     | Age 21                                                                                               |
| <b>Eligibility: Maximum Service Requirement</b> | 1 year (1,000 hours) for standard; 2 years for plans with immediate full vesting                     |
| <b>Eligibility: Maximum Entry Date Delay</b>    | Earlier of: first plan year start after meeting requirements, or 6 months after meeting requirements |
| <b>Vesting: Employee Deferrals</b>              | Immediately 100% vested                                                                              |
| <b>Vesting: Employer Match — Cliff</b>          | 100% after 3 years                                                                                   |
| <b>Vesting: Employer Match — Graded</b>         | 20%/yr over years 2-6 (fully vested after 6 years)                                                   |
| <b>Vesting: Safe Harbor Contributions</b>       | Immediately 100% vested                                                                              |
| <b>2024 Deferral Limit (402(g))</b>             | \$23,000                                                                                             |
| <b>2024 Catch-Up (age 50+)</b>                  | \$7,500                                                                                              |
| <b>2024 Total Annual Additions (415(c))</b>     | \$69,000                                                                                             |
| <b>2024 Compensation Cap (401(a)(17))</b>       | \$345,000                                                                                            |
| <b>RMD Age (born 1951-1959)</b>                 | 73                                                                                                   |
| <b>RMD Age (born after 1959)</b>                | 75                                                                                                   |
| <b>Hardship: 6-month deferral suspension</b>    | Eliminated (post-2018 regulations)                                                                   |
| <b>Loan Maximum</b>                             | \$50,000 or 50% of vested balance, whichever is less                                                 |
| <b>Loan Repayment Period</b>                    | 5 years (or longer for principal residence)                                                          |
| <b>Form 5500 Filing Deadline</b>                | Last day of 7th month after plan year end (July 31 for calendar year plans)                          |
| <b>Form 5500 Extension</b>                      | 2.5 months additional (via Form 5558)                                                                |
| <b>SPD: Delivery to New Participants</b>        | Within 90 days of plan coverage                                                                      |
| <b>Safe Harbor Notice</b>                       | At least 30 days before plan year start                                                              |
| <b>Blackout Notice</b>                          | At least 30 days before blackout period                                                              |
| <b>QDRO Determination Period</b>                | Within 18 months of receipt                                                                          |
| <b>Fiduciary Bond Minimum</b>                   | \$1,000                                                                                              |
| <b>Fiduciary Bond Maximum</b>                   | \$500,000 (\$1,000,000 if employer securities held)                                                  |
| <b>Top-Heavy Threshold</b>                      | More than 60% of assets in key employee accounts                                                     |
| <b>Minimum Top-Heavy Contribution</b>           | 3% of compensation for non-key employees                                                             |

|                                                     |                               |
|-----------------------------------------------------|-------------------------------|
| <b>Early Withdrawal Penalty</b>                     | 10% (age 59½ threshold)       |
| <b>Excess Accumulation (RMD failure) Excise Tax</b> | 25% (10% if corrected timely) |

## 12. Sources

- U.S. Department of Labor, Employee Benefits Security Administration (EBSA): <https://www.dol.gov/agencies/ebsa/laws-and-regulations/laws/erisa>
- EBSA FAQs About Retirement Plans and ERISA: <https://www.dol.gov/agencies/ebsa/about-ebsa/our-activities/resource-center/faqs/retirement-plans-and-erisa>
- ERISA Compiled Statute (COMPS-896): <https://www.govinfo.gov/content/pkg/COMPS-896/pdf/COMPS-896.pdf>
- PensionResource.website — ERISA Code, PBGC & DOL Regulations: <https://pensionresource.website/EAMain?content=EAMain.Research.ERISAwRegs>
- Internal Revenue Code §§ 72, 401, 402, 408, 410, 411, 414, 415, 416, 4975
- SECURE Act of 2019 (Pub. L. 116-94)
- SECURE 2.0 Act of 2022 (Division T of Pub. L. 117-328)
- DOL Regulations: 29 C.F.R. §§ 2550.404a-5, 2550.408b-2, 2550.408b-19